

Tesla, Inc.
TSLA NASDAQ

Hold	\$374.77 ▲ 2.88%	12M Price Target \$400.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.48T
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TSLA: Roadster Hype Meets EV Credit Cliff

WHAT HAPPENED

- TSLA popped ~3% on solid volume — the market is eating up two narrative catalysts: Tesla opened Roadster preorders (finally, after ~9 years of delays) AND there's fresh chatter about a SpaceX/Tesla merger. Both are pure "Elon story stock" fuel — not fundamentals, but this stock has always traded on vibes as much as earnings.
- A 580 MW battery deployment during the heat wave (with Sunrun) is the underrated news — it shows Tesla Energy is scaling into a real business, not just a side hustle. That segment has 30%+ gross margins vs. autos at ~17%.

WHY IT MATTERS

Here's what to actually think about: the options flow is screaming caution even as the stock rips. Someone bought 150K puts at the \$375 strike expiring this week — that's a \$20M bet the stock stalls right here. Translation: big money is hedging the pop, not chasing it. The Roadster/SpaceX merger news is classic Musk narrative management — he tends to drop shiny objects when there's something less shiny coming (Q3 deliveries land in early October, and the \$7,500 federal EV tax credit officially expired September 30 under the "One Big Beautiful Bill" that passed in July). Expect a demand air pocket in Q4 as buyers who rushed to beat the deadline stop showing up. The stock at \$375 is pricing in Robotaxi + Optimus success — if either slips, there's real downside because the auto business alone doesn't justify a \$1.48T market cap.

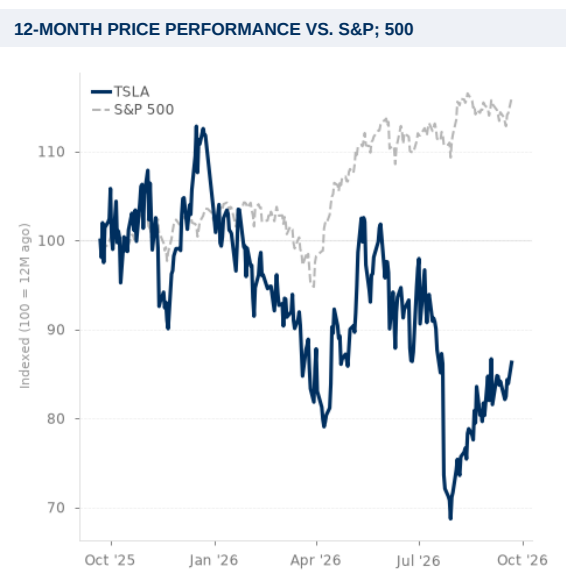
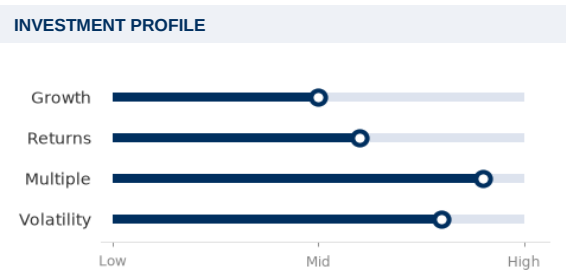
POLICY & POLITICAL WATCH

The big one: the federal EV tax credit (\$7,500 new, \$4,000 used) expired September 30 as part of the Trump tax bill from July — this is a direct headwind because it effectively raises Tesla's price by ~\$7,500 overnight for U.S. buyers. Offsetting that: the administration has been friendlier on autonomous vehicle regulation (NHTSA has loosened crash reporting requirements for AVs), which is a real tailwind for Robotaxi's Austin/Phoenix expansion. Also watch China — the 15% tariff framework with Beijing is holding, but any escalation hits Tesla's Shanghai gigafactory margins directly since ~40% of global production sits there.

IS IT EXPENSIVE?

At 174x forward earnings, investors are paying \$174 for every \$1 of profit Tesla will make next year — versus Toyota at ~10x and even Nvidia at ~35x. That's not an auto valuation, it's a "we believe Optimus and Robotaxi become trillion-dollar businesses" valuation. It can absolutely be justified if those bets pay off, but you're paying today for outcomes 5+ years away — meaning any hiccup gets punished hard.

Key Data	
Price (USD)	\$374.77
12M Price Target	\$400.00
Upside / (Downside)	+6.7%
Market Cap	\$1.48T
FY2026E Revenue	\$108M
FY2027E Revenue	\$132M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.10
Fwd P/E	174.3x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$410.00	\$380.00	\$340.00
6 Months	\$480.00	\$400.00	\$300.00
1 Year	\$550.00	\$400.00	\$280.00
2 Years	\$700.00	\$450.00	\$250.00
5 Years	\$1000.00	\$600.00	\$200.00
10 Years	\$2000.00	\$900.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+3.8%) and Tech (+2.4%) — money is chasing AI beneficiaries hard, and Tesla is increasingly categorized as an AI/robotics play rather than an automaker, which is why it's rallying with tech instead of Consumer Discretionary (+1.1%).

COOLING OFF: Traditional autos and Real Estate — rates staying "higher for longer" is squeezing anything capital-intensive that isn't riding the AI narrative.

ROTATION WATCH: Money is rotating out of defensive names into anything with an AI or autonomy story. That's why TSLA outperformed CarMax and Ford today by a wide margin — same sector, totally different story.

RELATED PLAY: If you believe the autonomy story, Mobileye (MBLY) and Aeva (AEVA) are picks-and-shovels plays. If you think the EV credit expiration hurts, short KraneShares Electric Vehicles ETF (KARS) as a hedge.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI infrastructure king — anything tied to compute keeps ripping
- RUN (Sunrun): Piggybacking on Tesla's battery deployment news — up in sympathy on the heat-wave grid story

TSLA CONTEXT: Tesla is leading its "peer group" today, but its real peer group is shifting — it moves more with NVDA and PLTR than with GM and F now. That's bullish for multiple expansion but dangerous because AI names get repriced violently when the narrative shifts.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Cautiously constructive. I like the long-term story but the near-term setup (EV credit expiration + stretched valuation + bearish options flow) says don't chase here.

POSITION SIZE: 2-4% of portfolio — this stock can move 10% on a tweet, so size it where a bad week doesn't ruin your month.

ENTRY POINTS: I'd wait for \$340-355 on any macro wobble or a Q3 delivery miss. Chasing \$375 with unusual put activity flashing is bad risk/reward.

TIME HORIZON: 12-24 months — you're waiting for Robotaxi to scale from 2 cities to 10+ and Optimus to show a credible production ramp. Both are 2027 stories.

WHEN TO BAIL: Auto gross margins below 15%, Robotaxi rollout gets NHTSA-halted, or Musk sells another big chunk of shares. Any of those and I'm trimming hard.

HEDGING: Simplest hedge — buy January \$350 puts as insurance (costs roughly 3-4% of position value but caps your downside). Or pair it with a long position in a boring automaker like Toyota that benefits if the "Tesla premium" compresses.